

Exhibit B: 2018 OSC Audit and Village Response

Prepared for: Memorandum to the Village Board of Tuxedo Park **Audit:** New York State Office of the State Comptroller Report 2018M-114

Scope and chronology

OSC's principal audit period was January 1, 2015 through May 17, 2017. Its professional-services review extended through December 2017. The principal period therefore ended before David C. McFadden became Mayor in July 2017, while the professional-services testing crossed the transition.

Audited findings

Area	OSC finding	Amount or population
Professional-service competition	Competition was not solicited for 14 of 15 professional-service providers	\$926,188 paid
Written professional agreements	Five providers lacked written agreements	\$169,330 paid
Required quotations	11 of 23 tested purchases lacked required quotations	\$102,543
Clerk/Treasurer controls	Incompatible duties created the ability to execute and conceal transactions without detection	Structural control finding
Water billing	Rate documentation and billing controls were inadequate	494 inaccurate bills identified
Information technology	Policies, recovery planning, filtering, and security training required improvement	Control finding

The dollar figures above describe different audit findings and are not additive.

Clerk/Treasurer language

OSC stated:

“Although our audit did not disclose significant findings with respect to the Village Clerk/Treasurer’s activities, the Village Clerk/Treasurer had the ability to easily execute and conceal transactions without detection.”

The Village’s October 16, 2018 response stated:

“Additionally, and more importantly, we are pleased that no instances of misappropriation or serious misconduct were discovered during the lengthy and in-depth investigative process.”

The two statements should be read together. The audit did not disclose significant findings in the activities examined, but it did identify an unacceptable segregation-of-duties risk.

Recommendation crosswalk

OSC recommendation	Documented response or later record	Supported assessment
Segregate incompatible duties or add compensating review	Village committed to additional review; later procedures required specified advance-paid claims to return for Board audit	Corrective review documented
Solicit and document competition for professional services	Village response described interviews and proposal review for the attorney and engineers	Competitive-selection process described
Use written professional agreements	Later engineering records contain written scopes, fee schedules, amendments, and acceptance terms	Written-contract discipline documented
Obtain required written quotations	Later sewer records identify original bid prices and quotations for added work	Project-level quotation practice documented
Clarify water and capital-improvement rates	Public rate information was later available	Public documentation improved

OSC recommendation	Documented response or later record	Supported assessment
Review rates used for quarterly billing	No conclusion stated in this exhibit	Not used as an achievement claim
Resolve prior overbillings and underbillings	No conclusion stated in this exhibit	Not used as an achievement claim
Adopt disaster-recovery, breach-notification, and acceptable-use policies	No conclusion stated in this exhibit	Not used as an achievement claim
Install web filtering and review Internet use	No conclusion stated in this exhibit	Not used as an achievement claim
Provide annual IT-security awareness training	No conclusion stated in this exhibit	Not used as an achievement claim

Procurement comparison

The \$926,188 figure is an audited historical population. The later record consists of policy changes and documented examples, not a second audit using the same sampling method. The defensible conclusion is that procurement policy, written scopes, proposal review, bids, and quotations improved. This exhibit does not claim that later noncompetitive spending was zero.

Source

- New York State Office of the State Comptroller, Village of Tuxedo Park: Selected Financial Operations, Report 2018M-114.